

Hong Kong: Offshore CGB futures to accelerate RMB internationalisation

DESKNOTE

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OUR KEY VIEWS

- The launch of 5-year China Government Bond futures in Hong Kong on 3 August will provide international investors with another tool to meet their growing needs for managing government bond risks, in our view, in addition to the existing onshore bond futures and the Swap Connect.
- We believe that the offshore CGB futures offer greater flexibility to foreign investors than onshore contracts and complement Swap Connect as an additional offshore risk-hedging tool, thereby broadening participation and deepening liquidity.
- The launch is set to advance RMB internationalisation and boost the appeal of RMB assets, in our view, especially given the current RMB appreciation momentum and the supportive policies as China gradually opens its financial account.

Hong Kong will launch 5-year China Government Bond futures on 3 August. Unlike the tentative launch in 2017, which was shelved because market conditions were not mature, the launch next week is supported by a more than threefold increase in foreign CGB holdings (now at RMB2trn) and the inclusion of China bonds in all three major global bond indices. The HKEX also hinted at introducing a 10-year CGB futures contract in the future.

CGB futures will complement Swap Connect as an additional risk-management tool for foreign investors, in our view.

Since April, onshore treasury bond futures have been available to foreigners but restricted to Qualified Foreign Investors for hedging only (see [China: Allows qualified foreign investors to trade CGB futures, advancing RMB internationalisation](#), dated 27 April). Offshore CGB futures remove these restrictions, so foreign investors can trade offshore bond futures directly without holding onshore bond positions. Given that the current foreign investors in China's bond market are mainly central banks, pension funds, insurers, and other allocation-driven entities, we expect the primary demand to still be for hedging purposes. However, as market depth increases, we anticipate more fast money to gradually enter, leading the market to evolve from pure hedging to a mix of hedging and trading. We will continue to monitor the progress.

The offshore 5y treasury bond future contract seems to better match offshore investors' trading habits and cross-border funding constraints than the onshore 5y contract. Key differences include (see appendix for a detailed comparison):

- **Delivery method:** The offshore contract uses cash settlement, avoiding the relatively complex cross-border transfer of physical bonds and the associated costs, such as custodial account transfers, interest calculations, and the selection of the cheapest-to-deliver security.
- **Minimum fluctuation:** The offshore contract's notional value is RMB500k, half of the onshore contract. Given that its quoting methodology mirrors that of the onshore instrument, the offshore minimum price tick is also half the onshore amount. This finer tick size is more accommodating for small-position hedging and for precise, incremental rebalancing.
- **Price limit:** Volatility control mechanism – a safeguard that applies a five-minute cooling-off period during extreme price movements – and dynamic price banding will not be applied. Unlike the onshore market, which confines price movements to $\pm 1.2\%$ of the prior trading day's settlement price, the offshore market will not have any daily price-limit band.
- **Trading hours:** The trading session for offshore bond futures runs from 9:30am to 4:30pm with no lunch break. This extended window covers the full interbank spot-bond period, enabling more continuous processing of market information and sentiment. In theory, it also provides the onshore market with an additional reference point for sentiment and pricing.
- **Contract months:** Only the two nearest quarterly expiry months are listed, preventing liquidity from being diluted in far-dated contracts.

Overall, we see that the design for offshore treasury futures adheres more closely to international standards. This accessibility for foreign investors should encourage broader participation, deepen liquidity, and improve price discovery.

Greater flexibility for foreign investors

Complementing Swap Connect

After the launch of Swap Connect in May 2023, many overseas investment institutions have chosen to use swap products to hedge their positions in China's treasury bonds. The monthly settlement amount has surged from RMB66.4bn to a record RMB820.8bn this March. We think offshore bond futures can complement some limitations of the Swap Connect.

- **Better hedging for direct bond exposure:** Treasury futures may be more effective at hedging direct treasury bond exposure, as they track the underlying bonds and have a higher correlation to bond yields. Swap Connect, by contrast, is based on interbank rates and the LPR, which may introduce additional swap spread risk.
- **Higher capital efficiency:** Treasury futures, as an exchange-standardised product, tend to have smaller margin requirements. By contrast, Swap Connect, an OTC derivative, may face initial, participating, and variation-margin requirements.
- **Wider investor scope:** Swap Connect requires the China Interbank Bond Market (CIBM) Direct or Bond Connect participation, whereas offshore bond futures require only standard HKEX brokerage access.

That said, offshore treasury futures are currently limited to a 5-year contract, while Swap Connect covers multiple benchmark rates and tenors, enabling investors to devise hedging strategies tailored to their specific portfolio needs. The addition of a 30-year product in May 2025 (drawing on 7-day repo and 3-month Shibor swap contracts that can have terms of up to 30 years) supports institutional investors in meeting their longer-term hedging needs. Together, the two products will provide more comprehensive risk management, in our view.

Advancing RMB internationalisation

Foreign holdings of China bonds have dipped due to the fading of CGB ASW opportunities in mid-2024 and persistent low yields (see [China: Analysing the appeal of CGB asset swaps](#), dated 24 January 2024). We acknowledge that it may take some time for foreign investors to fully return to the Chinese bond market, as the nominal yields in China onshore are still low compared with global peers. However, access to offshore CGB futures with the ability to better hedge risks should enhance the appeal of RMB assets, especially since they have been stable despite global uncertainty.

Because foreign investors can use these futures for more than just hedging, we believe that the potential interest in trading this product may generate spillover effects into other RMB-denominated asset classes over time. This step is likely critical to China's gradual opening of its financial account.

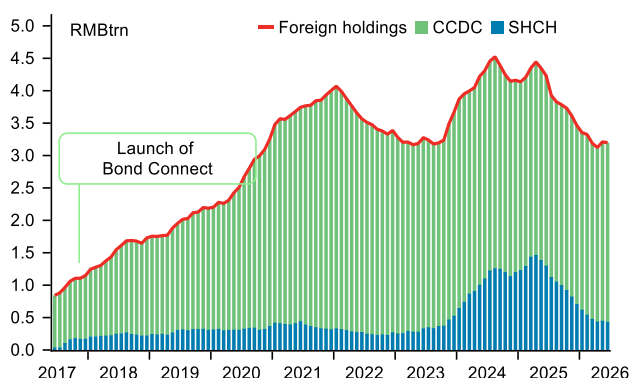
Overall, current RMB appreciation momentum and supportive policies, such as June's FIMA RMB Repo, provide an opportune moment to accelerate RMB internationalisation, in our view.

Aligning with Hong Kong's development goals

We see the CBG futures launch as structurally important for reinforcing Hong Kong's status as a primary offshore RMB hub and for developing a global fixed-income and currency hub.

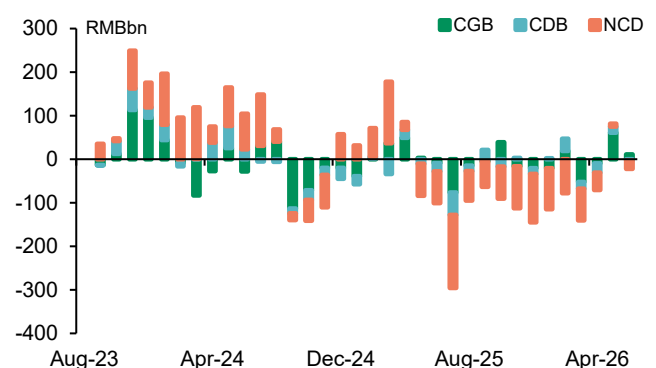
The contract adds to the HKEX's RMB and Mainland China-related suite, which includes Stock Connect, Bond Connect, Swap Connect and MSCI China A50 Connect Index Futures and Mutual Recognition of Funds. The launch follows the July HK FIC and Bond Connect Summit, where the PBoC Governor Pan Gongsheng and HK Chief Executive John Lee Ka-chiu announced a slew of measures, such as the expansion of RMB business facilities and the deepening of the RMB assets pool, signaling a strong push to cement Hong Kong's role as the key gateway for RMB internationalisation.

Foreign holdings of China bonds



Sources: Macrobond, BNP Paribas

Monthly change in foreign holdings of China bonds



Sources: Macrobond, WIND, BNP Paribas

Appendix

Comparison of contract specifications for onshore and offshore 5y CGB futures

	CFFEX 5y CGB futures (onshore)	HKEX 5y CGB futures (offshore)
Underlying	Nominal medium-term CGBs with a face value of RMB1mn, and a nominal coupon rate of 3%	Onshore 5y CGB with a face value of RMB0.5mn, A 3% coupon rate, and annual coupon payments
Price quotation	RMB100 net price	As a % of the contract size, quoted to 3 decimal places
Minimum fluctuation	Tick size is RMB0.005, Tick value is equivalent to RMB50 per contract	Tick size is 0.005% of the contract size, Tick value is equivalent to RMB25 per contract
Contract months	The three nearest quarterly months (March, June, September, and December)	The two nearest quarterly months (March, June, September, and December)
Trading hours	9:30am–11:30am, 1:00pm–3:15pm Only 9:30am–11:30am on the last trading day	9:30am–4:30pm
Last trading day	The second Friday of the contract expiry month	The second Friday of the contract expiry month
Limit up/Limit down	±1.2% of the settlement price on the preceding trading day	No volatility control mechanism, and dynamic price banding or maximum fluctuation limits will be applied
Minimum trading margin	1% of the contract value	Not yet available
Position limits	For a client's single-sided holdings in a particular contract: (1) 2,000 contracts starting from the first trading day (4,000 for a non-futures-company member); (2) 600 contracts starting from the first trading day prior to the delivery month (1,200 for a non-futures-company member) After settlement, if a contract's total single-sided open interest exceeds 600,000 contracts, a clearing member may hold no more than 25% of that total on the next trading day	22,000 net contracts in all contract months combined per exchange participant for their own behalf; 22,000 net contracts in all contract months combined per client
Large open positions	Clients/members must notify the exchange when either: (1) their speculative, one-sided position in a contract reaches ≥ 80 % of the speculative limit; or (2) the market-wide one-sided total hits 50,000 contracts and their treasury-bond-futures position exceeds 5% of that total The exchange may request a report if: (1) the top five clients' aggregate one-sided treasury-bond-futures positions exceed 10% of the market-wide total; (2) the top 10 clients' aggregate one-sided treasury-bond-futures positions exceed 20% of the market-wide total; (3) any other the exchange deems reportable	2,500 open contracts in any one contract month per exchange participant for their own behalf; and 2,500 open contracts in any one contract month per client The block trade minimum volume threshold is 50 contracts
Settlement method	Physical delivery on the third trading day after the last trading day	Cash-settled contract for difference on the second Friday of the contract month

Sources: CFFEX, HKEX, BNP Paribas

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